DAYSTAR UNIVERSITY

ACC 211 NOTES

PARTNERSHIP ACCOUNTS

A partnership is created when a sole proprietor takes in one or more partners (co-proprietors) in common with a view to profit. In many Kenya a partnership is not a corporate entity, but a collection of individuals jointly carrying on business.

Advantages:

i. Business risks are spread among more that one person.
ii. Individual partners can develop specialist skills upon which the other partners can rely.
iii. Certain partners may be able to inject more capital resources.
iv. Less formal than setting up a company, which requires the issue of shares and the appointment of directors. If the partners wish to dissolve the business, that is easier to achieve by a partnership than by a company.

Disadvantages:

i. Effect of disputes between partners.
ii. 'Joint and several liability' for the debts of the partnership. This means that if one partner is being sued in relation to the business of the partnership, the other partners share in the responsibility
iii. In a company the share holders may be protected from the creditors of the company as regards the payment of outstanding debts.

THE PARTNERSHIP AGREEMENT

A partnership agreement, which need not necessarily be in written form, will govern the relationships between the partners including:

1. Name of firm ,the type of business, and
   duration of partnership.
2. Capital to be introduced by partners
3. Division of profits between partners,
   including salary which is a device for
   calculating the division of profit, it is not a salary in the normal meaning of the term.

4 Drawing by partners

5. Arrangements for dissolution, or on the death or retirement of partners
6. Settling of disputes
7. Preparation and audit of accounts

PARTNERSHIP ACT

In the absence of the partnership deed or if it has an ambiguity, then the provisions of the partnership Act will apply.

These are as follows:

1. Every partner has a right to take part in the conduct of the business.
2. All profits and losses are to be shared equally by the partners.
3. No interest is to be allowed to any partner on h/her capital.

4. 4. No salary, commission nor any other remuneration (except profit share) should be allowed to any partner.
5. 5. If a partner extends a loan to the firm (in addition to h/her capital contribution h/she should be allowed an interest of 5% p.a. of the amount lent
6. 6. Every partner will have a right to inspect the firms' books of accounts.

PARTNERS CAPITAL

Partners contribute capital as specified in the partnership deed. In this case;

Dr: Cash book

Cr: Individual capital a/c of partners

The capital account balances remain constant. They are changed only in case of change in partnership.

CURRENT ACCOUNTS

In partnership business, current accounts (fluctuating capital accounts) are maintained separately. The current accounts are adjusted with the following:

a) Profit share
b) Partners drawings
c) Partners' salaries
d) Interest on capital
e) Interest on drawings

PARTNERS FIXED CAPITAL ACCOUNTS

DATE	DETAILS	ALI	MOI	DATE	DETAILS	ALI	MOI
Dec 31	Bal c/f	xxx	xxx	Jan 1	Bal b/f	xxx	xxx
		xxx	xxxx			xxx	xxx

PARTNERS CURRENT ACCOUNTS

DATE	DETAILS	ALI	MOI	DATE	DETAILS	ALI	MOI
Dec 31	Drawings	Xxx	xxx	Jan 1	Bal bf	xxx	Xxx
Dec 31	Bal c/d	xxx	Xxx	Dec 31	Profit share	Xxx	xxx
				Dec 31	Salaries	----	xxx
				Dec 31	Interest on capital	xxx	xxx

		Xxx	xxx			xxx	xxx

STATEMENT OF FINANCIAL POSITION (EXTRACT)

CAPITAL ACCOUNTS

Ali xxx

Moi xxx xxx

CURRENT ACCOUNTS

Ali xxx

Moi xxx xxx

PROFIT SHARE

Profits and losses are shared by partners as set out in the partnership deed. The ratio is usually fixed as set out in the partnership deed. In the absence of the partnership deed , then profits and losses are shared equally amongst the partners.

PARTNERS' DRAWING RIGHTS

Partners may be entitled to withdraw some money for their personal uses. Drawing rights may be stated in the partnership deed. Sometimes partners may be expected to pay interest on their drawings. This is meant to discourage partners from withdrawing money unnecessarily.

INTEREST ON CAPITAL

Sometimes the partnership agreement provides for payment of interest to the partners at a specific percentage of their capital contributed. Payment of interest is an internal arrangement among partners and must not be treated as a business expense.

PARTNERS SALARIES

Where a partner performs some extra duties as compared to other partners, payment of salaries may be agreed in the partnership deed. Partners salaries are not business expenses and are therefore paid out of the profits.

GOODWILL

A business builds up some reputation after it has continued for some time. If the reputation is good, it acquires a fixed clientele in the sense that a number of customers will automatically make their purchase from the firm. This is an intangible but not fictitious asset and is called goodwill. Goodwill is defined as the value of the reputation of a firm. Goodwill depends on:

1. Personal reputation of owners and/or management.
2. Peculiar advantage of the site of the business.
3. Patents, copyrights or trade marks owned by the firm.
4. Peculiar advantage available to it as regards sales or supplies of materials.

APPROPRIATION OF PROFITS

- Net profit or loss is transferred to this account from the profit and loss account
- Additions are made for Interest on Drawings (this is to discourage partners from making drawings from the business)
- Deductions are made for Interest on Capital or any Salaries paid to partners

- Residual Profits are then shared, as agreed, according to Profit Sharing ratios

Example

Solo and Jaco are in partnership sharing profits and losses in the ratio of 2:3 respectively. During the year ended 31st December 2011, the net profit was ksh. 1.5m and the partners drawings were; Solo sh. 120,000; Jaco sh. 300,000. Interest is charged on partners capital at the rate of 5% p.a. No interest is charged on drawings. Jaco is entitled to a salary of sh. 5000 p.m. The balance on the partners account (all credit balances) at 1st January 2011 were:

	CAPITAL A/C	**CURRENT A/C**
Solo	sh. 1,600,000	89,000
Jaco	sh. 2,000,000	170,000

RQD: Partners P/L appropriation a/c and partners current accounts.

GUARANTEED SHARE OF PROFITS

Sometimes, the amount of a partner's share of profit is guaranteed by the other partners. When h/her share of profit is less than the amount guaranteed, then;

i. Dr: Appropriation a/c with guaranteed amount.
   Cr: Partners current a/c

ii. The remaining profit will then be shared among the other partners accordingly; in this case, other partners will suffer because some part of their profit will go to that partner whose profit is guaranteed.

Example

Kilome and Wandere are in partnership sharing profits and losses in the ratio 1:1, but Kilome is guaranteed by Wandere to receive a profit of sh. 100,000. The net profit for the year ended 31st December 2011 was sh. 190,000. Prepare the appropriation account for this partnership.

DEBIT BALANCE ON CURRENT ACCOUNTS

A partner may overdraw h/her current account by taking more than h/her share of profits. In this case there will be a debit balance in the current account of that partner. This debit balance represent that this amount is due to the business from the partner. This debit balance is shown as a deduction from the credit balance in the current accounts of other partners in the balance sheet. The debit balance can be adjustred in the following year against the profit share of that partner for that year.

Example

The balance in the current accounts of the partners as at 31st December 2011 were:
Lomrion sh. 395,000 cr, Lonyangatepa sh. 275,000cr, Kaparsip sh. 130,000 dr

RQD

Show the current accounts as they will appear in the statement of financial position.

Example

Gideon, Wangai and Kaparsip are in partnership with capital of sh. 30m, 12m and 3m respectively. Their partnership agreement provide for the following. Interest on capital is at 4% p.a. Wangai and Kaparsip are to receive salaries of sh. 275,000 each per month. Interest is chargeable on drawings at 5% p.a. Profit and losses to be shared among

partners as follows; Gideon 3/5, Wangai 3/10 and Kaparsip 1/10. The following information is available for the year ended 31st December 2011.

a) Current account balances on 1st January 2011 were:

Gideon, sh. 930,000Cr; Wangai, sh. 570,000Cr; Kaparsip sh. 285,000Dr

b) Net profit for the year ended 31st Dec. 2011 was sh. 15,840,000.

c) During the year, quarterly drawings were as follows:

Gideon sh. 360,000; Wangai sh. 270,000; Kaparsip, sh. 270,000.

REQUIRED

i. Profit & loss appropriation a/c for the year ended 31st December 2011

ii. Partners Current account.

REVISION EXERCISES

1. The following statement of financial position of Peter and James partnership as at 31st December 2004.

Peter and James

Statement of financial position as at 31st December 2004

Details	Shs	Shs	Shs
Non-current Assets			508 000
Current assets			392 000
			900 000
FINANCED BY			
Capital accounts			
Peter	395 000		
James	245 000	640 000	
Current accounts			
Peter	84 000		
James	60 000	144 000	
Liabilities		116 000	900 000

The information for the year ended 31st December 2004 was also available.

i. The net profit for the year was sh. 264 800.

ii. The partners were to be credited at the end of the year with salaries as follows;

Peter sh 52 500

James sh 27 500

iii. Interest was to be allowed on beginning capital balance at the rate of 5% per annum.

iv. Interest was to be charged on drawing at the rate of 5% per annum

v. Profits and losses were to be shared by peter and james in the ratio 5:3 respectively.

vi. Cash drawings during the year were as follows;

Peter sh. 122 000

James sh. 76 400

198 400

For the year ended 31st December, 2004, prepare;

i. Income appropriation account (5 marks)

ii. Partners current accounts (7 marks)

2. The following balances were extracted from the books of Mbusi and Ndoo Partnership business on 31st December 2012.

	Sh.
Capital : Mbusi	8 500 000
Ndoo	8 700 000
Drawings: Mbusi	180 000
Ndoo	210 000
Net profit	4 716 000
Current liabilities	1 490 000
Non current assets	18 290 000
Current assets	4 726 600

The partnership deed provides as follows;

i. Each partner is entitled to 5% interest on capital

ii. Profits and losses are to be shared by Mbusi and Ndoo in the ratio of 2:3 respectively.

iii. Interest on drawings to be charged at 6%

Required:

i. Partners income appropriation account for the year ended 31st December 2012.

ii. Partners capital accounts.

iii. Statement of financial position for Mbusi and Ndoo partnership as at 31st December 2012.

3. Mwamba and Pembe are in partnership business sharing profits and losses in the ratio of 3:2 respectively. Information given below relates to the partnership for the year ended 30th April 2012.

	Sh.
Capital accounts	
Mwamba	4 500 000
Pembe	3 000 000
Drawings	
Mwamba	960 000
Pembe	840 000

Net profit during the year amounted to sh. 9 200 000.

The partnership agreement provides for;

i. Interest to be paid on capital at 12% p.a.

ii. Interest to be charged on drawings at 20% p.a.

Required

i. Income appropriation account.

ii. Partners current accounts.

4. H and P are partners sharing profits and losses in the ratio of 2:3. The following is the trial balance in the partnership books as at 31st December 2012.

DETAILS	DR (SH)	CR (SH)
Capital as at 1st Jan		
H		1 968 000
P		1 584 000
Drawings		
H	432 000	
P	288 000	
Provision for doubtful debts		57 600
Purchases	12 196 800	
Sales		15 823 200
Motor vehicle at cost	1 392 000	
Fittings at cost	288 000	
Provision for depreciation		
Vehicles		710 400
Fittings		136 800
Stock	2 083 200	
Petty cash	4 800	
Office expenses	768 000	
Vehicle expenses	475 200	
Motor car at cost	192 000	
Debtors and creditors	1 464 000	504 000
Bank		64 800
Salaries	883 200	
Insurance	74 400	
Discounts allowed	307 200	
	20 848 800	20 848 800

The following additional information is available.

i. Stock as at 31st December 2012 was valued at sh 3 165 600.

ii. Depreciation is to be provided at 10% per annum on the written down value of the fittings and at 12% per annum on fixed installment method on motor vehicles and the motor car. H is to bare personally sh 48,000 of the vehicle expenses and one half of the depreciation charge of the motor car

iii. No rent has been paid on the business premises during the year because of a dispute with the landlord. The rental agreement provides for a rent of SH 111,360 per year .

iv. Bad debts of SH 24,000 are to be written off and the provision for doubtful debts to be adjusted to 21/2 % of the remaining debtors
v. Insurance Sh 8400 has been paid in advance at 31st December 2012
vi. Salaries Sh 44 400 were owing at as 31st December 2012
vii. An item of SH 8 400 for bank charges appears in the bank account
viii. The partners are entitled to interest on capital 10%per annum

Required

a) Income statement for the year ending 31st December 2012
b) Statement of financial position as at that date

5. Read the following and answer the questions below.

A and B own a grocery shop. Their first financial year ended on 31 December 2011.
The following balances were taken from the books on that date:

Capital:	A- sh. 60,000;	B – sh. 48,000.
Partnership salaries:	A - sh. 9,000;	B - sh. 6,000.
Drawings:	A – sh.12,000;	B – sh. 13,400.

The firm's net profit for the year was sh. 32,840.
Interest on capital is to be allowed at 10% per year.
Profits and losses are to be shared equally.

From the information above prepare the firm's appropriation account and the partners' current accounts.

6. Draw up a profit and loss appropriation account for the year ended 31 December 2011 and balance sheet extracts at the date, from the following:

i. Net profits sh.30,350,000
ii. Interest to be charged on capitals: Wario sh. 2,000,000; Pengine 1,500,000; Hasler sh. 900,000
iii. Interest to be charged on drawings; Wario sh 240,000; Pengine sh.180,000; Hasler sh.130,000
iv. Salaries to be credited: Pengine sh. 2,000,000; Hasler sh 3,500,000.
v. Profits to be shared: Wario 50%; Pengine 30%; Hasler 20%.
vi. Current accounts: balances b/f Wario sh. 1,860,000; Pengine sh. 946,000; Hasler sh.717,000
vii. Capital accounts: balances b/f Wario sh.40,000,000; Pengine sh. 30,000,000; Hasler sh.18,000,000
viii. Drawings: Wario sh.9,200,000; Pengine sh. 7,100,000; Hasler sh. 6,900,000.

7. The following list of balances as at 30 September 2011 has been extracted from the books of Brick and Stone, trading partnership, sharing the balance of profits and losses in the proportions 3:2 respectively.

		SHS	
Printing, stationery and postage		3,500,000	
Sales		322,100,000	
Stock in hand at 1 October 19X8		23,000,000	
Purchases		208,200,000	
Rent and rates			10,300,000
Staff salaries		36,100,000	
Telephone charges		2,900,000	
Motor vehicle running costs		5,620,000	
Discounts allowable		950,000	
Discount receivable		370,000	
Sales returns		2,100,000	
Purchases returns		6,100,000	
Carriage inwards			1,700,000
Carriage outwards		2,400,000	
Fixtures and fittings: at cost		26,000,000	
Provision for depreciation		11,200,000	
Motor vehicles: at cost		46,000,000	
Provision for depreciation		25,000,000	
Provision for doubtful debts		300,000	
Drawings:	Brick	24,000,000	
	Stone	11,000,000	
Current account balances			
At 1 October 19X8:			
	Brick	3,600,000	credit
	Stone	2,400,000	credit
Capital account balances			
At 1 October 19X8:			
	Brick		33,000,000
	Stone		17,000,000
Debtors			9,300,000
Creditors			8,400,000
Balance at bank			7,700,000

Additional information

1. Sh. 10,000,000 is to be transferred from Brick's capital account to a newly opened Brick Loan Account on 1 July 2011.
2. Interest at 10 per cent per annum on the loan is to be credited to Brick.

3. Stone is to be credited with a salary at the rate of sh.12,000,000 per annum from 1 April 2011.
4. Stock in hand at 30 September 2011 has been valued at cost at sh. 32,000,000.
5. Telephone charges accrued due at 30 September 2011 amounted to sh. 400,000 and rent of sh. 600,000 prepaid at that date.
6. During the year ended 30 September 2011 Stone has taken goods costing sh.1,000,000 for his own use.
7. Depreciation is to be provided at the following annual rates on the straight line basis:

Fixtures and fittings	10%
Motor vehicles	20%

Required:

(a) Prepare a trading and profit loss account for the year ended 30 September 2011. (12 marks)

(b) Prepare a balance sheet as at 30 September 2011 which should include summaries of the partners' capital and current accounts for the year ended on that date. (8 marks)

8. Mack and Spencer are in partnership sharing profits and losses equally. The following is the trial balance as at 30 June 2003.

	Dr. sh	Cr. sh
Buildings (cost sh750,000)	500,000	
Fixtures at cost	sh 110,000	
Provision for depreciation: Fixtures		33,000
Debtors		162,430
Creditors		111,500
Cash at bank		6,770
Stock at 30 June 19X8	419,790	
Sales		1,236,500
Purchases	854,160	
Carriage outwards	12,880	
Discount allowed	1,150	
Loan interest: King	40,000	
Office expenses		24,160
Salaries and wages	189,170	
Bad debts	5,030	
Provision for bad debts		4,000
Loan from J King		400,000

Capitals: Mack		350,000
Spencer		290,000
Current accounts: Mack		13,060
Spencer		2,890
Drawings: Mack	64,000	
Spencer	56,500	
	2,446,040	2,446,040

Additional information

a) Stock, 30 June 2003, sh 563,400
b) Expenses to be accrued: Office Expenses sh 960; Wages sh2,000
c) Depreciate fixtures 10 per cent on reducing balance basis, buildings sh 10,000
d) Reduce provision for bad debts to sh 3,200.
e) Partnership salary: sh8,000 to Mack. Not yet entered
f) Interest on drawings: Mack sh1,800; Spencer sh 1,200.
g) Interest on capital account balances at 10 per cent.

Required:

Prepare a trading and profit and loss appropriation account for the year ended 30 June 2003 and a balance sheet as at that date.

9. The balance sheet of the partnership of Kombo and Nzuki as at 31 March 1997 was as follows:

Capital accounts:		Shs.	Sh.	Fixed asset		sh. sh
Kombo	1,400,000		(at cost less depreciation			
Nzuki	1,400,000	2,800,000	Premises		1,200,000	
			Equipment		520,000	
			Vehicles		418,000	2,138,000
Current Accounts:						
Kombo	136,000					
Nzuki	(81,200)	54,800				
Current Liabilities:			Current Assets:			
Creditors	501,600		Stock		894,200	
Accruals	25,600	527,200	debtors	475,900		
			Provision	(46,400)	429,500	
			Prepayments		28,600	
Suspense account		326,300	Bank and cash		281,000	1,570,300
		3,708,300			3,708,300	

After a lengthy check of all the entries, the following errors were identified

1. Discounts received, sh.26,400 had been debited to discounts allowed.
2. The sales account had been under cast by sh.200,000.
3. A credit sale of Sh.29,400 had been debited to a customer's account as Sh.42,900.
4. A vehicle bought originally for sh.140,000 four years ago and depreciated at 20% by straight line method on an assumed residual value of Sh.20,000 had been sold at Sh.60,000 but no entries, other than in the bank account had been passed through the books.
5. An accrual of Sh.11,200 for electricity charges had completely been omitted.
6. A bad debt of Sh.31,200 had not been written off an provision for bad debts should have been maintained at 10% of debtors.
7. Kombo's current account had been credited with a partnership salary of Sh.60,000 which should have been credited to Nzuki's current account.
8. Kombo had withdrawn, for personal use, goods to the value of Sh.39,200. No entries had been made in the books.
9. The partners share of profits and losses as follows:
   Kombo 60% and Nzuki 40%

Required:

a) A statement of adjustments to show the correct net profit for the y (12 marks)

b) A suspense account showing how the balance is eliminated from the books. (2 marks)

c) A corrected balance sheet as at 31 March 1997. (8 marks)